IN THE HIGH COURT OF ORISSA AT CUTTACK
W.P.(C) No.21048 of 2022

In the matter of an application under Articles 226 and 227 of the Constitution of India.

Branch Manager, Urban Co-Operative Bank Ltd., Gandarpur	….	***Petitioner***
	-versus-	
Prakash Prasad and Ors.	….	***Opposite Parties***

Advocates appeared in the case through Hybrid Mode**:**

For Petitioner : *Mr. Manoranjan Mishra, Adv.*

For Opposite Parties. : *Mr. Amarjit Keshari Das, Adv. (for O.P.1)*

CORAM:
Dr. JUSTICE S.K. PANIGRAHI

DATE OF HEARING:-10.05.2023
DATE OF JUDGMENT: -03.07.2023

Dr. S.K. Panigrahi, J.

1. In this Writ Petition, the Petitioner/ Bank has challenged the order dated 26.03.2021 passed by the learned President, State Consumer Dispute Redressal Commission, Odisha, Cuttack in F.A. No.347 of 2006.

I. FACTS OF THE CASE:

2. The facts of the case in brief, are that the Opposite Party No.1 as an Appellant had filed F.A. No.347 of 2006 challenging the order

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dated 20.03.2006 passed by the learned District Consumer Dispute Redressal Forum, Cuttack dismissing the C.D. Case No.163 of 2004 filed by him. In the said complaint petition the Opposite Party No.1 had alleged misappropriation of his money deposited with the Petitioner/ Bank through the Opposite Party No.2 who is the Agent. The Opposite Party No.2 opened one Sanchayeeta Deposit Account with the Petitioner bearing No.BM-735 on 28.09.2001. It was to be operated for one year under a Pass Book. The process continued till the complainant detected that an amount of Rs 44,000/- sent by him through the Opposite Party No.2 was not accounted for in his account. So, the Opposite Party No.1 lodged a complaint. However, as no step was taken on his complaint, the Opposite Party No.1 filed aforesaid consumer case for seeking relief.

3. In the said consumer case, the Petitioner and the Opposite Party No.4, after getting notice appeared and contested the case by filing their counter in which they had specifically denied regarding the deposit made by the Opposite Party No.2 and the Bank is no way liable for the same. Moreover, they had also said that as the Opposite Party No.2 was under suspension, they could not engage him anymore.

4. In the said case, the Opposite Party No.2 (Agent) appeared by engaging an Advocate and filed his counter specifically stating that he has not received the amount from the Opposite Party

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No.1 at any point of time as claimed by the Opposite Party No.1 with a view to deposit the same in his account.

5. The learned District Consumer Forum dismissed the claim of the Opposite Party No.1 against the Petitioner as well as Opposite Party No.4 holding that it was the Opposite Party No.2, who was responsible for misappropriation of money of the Opposite Party No.1. He needs to be criminally booked besides levy of the civil liability against him.

6. Against the judgment dated 20.03.2006 passed in C.D. Case No.163 of 2004 by the learned District Consumer Disputes Redressal Forum, Cuttack, the Opposite Party No.1, who is the Complainant, had filed First Appeal No.347 of 2006 before the learned State Consumer Disputes Redressal Commission, Odisha, Cuttack. Learned State Consumer Disputes Redressal Commission, Odisha, Cuttack vide order dated 26.03.2021 disposed of the F.A. No.347 of 2006 affirming the judgment dated 20.03.2006 passed in C.D. Case No.163 of 2004 by the learned District Consumer Disputes Redressal Forum, Cuttack with a modification to the extent that the present Petitioner and the Opposite Party No.2 are jointly and severally liable to pay Rs.44,000/- to the present Opposite Party No.1/ complainant with interest as ordered by the learned district Forum from the date of impugned order till the date of realization and rest portion of the impugned order was set aside.

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II. SUBMISSIONS ADVANCED ON BEHALF OF THE PETITIONER/ BANK:

7. Learned counsel for the Petitioner submitted as under:

A. Sanchayeeta Deposit Scheme clearly provides for the procedure of deposit and also time for verification by the depositors in time. The Advocate for the Petitioner and the Opposite Party No.4/ Bank could not appear and put forth their grievance in time in the aforesaid First Appeal No.347 of 2006 before the learned State Consumer Disputes Redressal Commission, Odisha, Cuttack. As a result of which, the Opposite Party No.1 was able to succeed in his case. Moreover, before passing the order in the aforesaid First Appeal, the Opposite Party No.2 was dead. Without substituting the legal heirs in place of the present Opposite Party No.2 and by suppressing the same, the Opposite Party No.1 could get the order in his favour.

B. When the Opposite Party No.1 initiated execution proceeding and notice was served on the present Petitioner, the Petitioner came to know that the Opposite Party No.1 was able to succeed in appeal by suppressing all the material facts before the appellate forum which is legally not sustainable.

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C. The impugned order of the appellate forum may be quashed as the same has been passed losing sight of the facts that the advocate for the present Petitioner could not appear in time and contest the case by placing all the documents including the facts of death of Opposite Party No.2 (Agent) due to COVID-19 pandemic situation. Therefore, the Petitioner could not get an opportunity to be heard at the time of hearing of the appeal.

D. When the Scheme itself is very clear how to deposit and how to verify those deposits in time. Without carrying out the same after some days, all of a sudden, he has agitated all these things which is not maintainable at all and the same should not be accepted. Moreover, it was the specific case of the Opposite Party No.2 (Agent) that he had not collected those amounts. It is difficult to fathom as to how and on what basis the appellate forum held that both are jointly and severally liable which is not correct at all and there is no basis for the same. It is the settled position of law that Agent is not the employee of the Bank. For any act or commission of the Agent, the principal Bank is not responsible. The Bank only be responsible when the agent deposits money in the Bank. It is not at all the case that the Agent has deposited but the Bank has refused the same. The learned State Commission has lost sight of the fact

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that the Bank is responsible vide impugned order dated 26.03.2021 and hence, the same is liable to be set aside.

E. When the amount was not received from the Opposite Party No.1 by the Opposite Party No.2, how would he be responsible first. The learned District Consumer Forum has held that "*the complainant failed to compare the disputed handwriting and signature of O.P.3 (the present Opposite Party No.2) through the handwriting expert due to want of money. So the test that the O.P.3 granted the receipts to the complainant after receipt of Rs.44,000/ on different occasions to deposit those in his account at O.P.2 Bank could not be completed*".

F. It is also settled position of law that commission agent of Bank under a special scheme are not actual establishment employees of the Bank. For their criminal liability in respect of a customer of the Bank, the Bank cannot be allowed to suffer any punitive action.

G. When the Opposite Party No.2, the agent is saying that he had not received the amount from the complainant, there is no question of attracting the provision of Indian Contract Act to hold that all the Opposite Parties are jointly and severally liable to pay the money. Moreover, the Opposite Party No.2 in his version has specifically said that he had not gone to the house of the Opposite Party No.1 twice in a day to collect money. So, the receipt

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showing the huge amount in one day is not at all correct. This was mischievously created only to grab money.

H. From the document, it clearly shows the deposit of Rs.200/- in each day and sometimes Rs.400/- and not more than Rs.1000/- per day. This clarifies about the capacity of the complainant. It is the first and foremost duty of the appellate court to protect public money when the agent is saying that he has not received the amount from the Opposite Party No.1.

I. The Opposite Party No.1 has not come to court with clean hands. Moreover, the Opposite Party No.2 was dead prior to passing of the order by the appellate authority in favour of Opposite Party No.1. The said fact came to the knowledge of the Petitioner later. It was the duty of the Opposite Party No.1 to intimate the said fact to the court immediately. But, the same was not done. So, the order itself is a nullity against the dead person. Accordingly, the Petitioner has prayed for fresh hearing of the matter after due substitution of the legal heirs of Opposite Party No.2.

III. SUBMISSIONS ON BEHALF OF THE OPPOSITE PARTY NO.1:

8. Learned counsel for the Opposite Party No.1 submitted as under:

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Date: 17-Jul-2023 15:48:18

A. Although the Petitioner stated that no deposit was made by the Opposite Party No.2, who had been suspended, in the Bank concerning the account of the Opposite Party No.1, the Petitioner did not withhold the security amount deposited by the Opposite Party No.2 for obtaining agent license from the bank. The present Petitioner without adjusting the aforesaid security amount of the Opposite Party No.2 (agent) in the account of the present Opposite Party No.1 allowed the culprit Opposite Party No.2 to withdraw his security deposit and went scot free. Thus, the present Petitioner was in league with the Opposite Party No.2.

B. On 12.06.2004, the Opposite Party No.2 received the notice for appearance before the learned District Consumer Dispute Redressal Forum, Cuttack. However, he consumed more than one year time to submit his counter affidavit in C.D Case No.163 of 2004. In his reply the said agent took a lame excuse that the complainant intoxicated him with liquor and when he was not in a fit state of mind, the Complainant had got receipts as per his choice. The entire receipts given by the agent were scrutinized by the learned District Consumer Disputes Redressal Forum, Cuttack and the handwritings were similar in all the receipts. Giving receipts with the same handwriting even under the influence of liquor is not a fact. The present Petitioner got prepared the counter affidavit of

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Opposite Party No.2 (agent) alluring him to release his security deposit with the bank and also to save him from further litigation. The prime intention of the Petitioner was to wriggle out the bank from all liabilities as principal.

C. The learned District Consumer Disputes Redressal Forum, Cuttack had issue direction in the paragraph 8 of his order that the present Petitioner and the Opposite Party No.4 were to stop payment, if any, due to the agent from their bank and adjust the amount payable to him against the dues of the complainant as indicated above within one month after receipt of the copy of the order. The case against the present Petitioner and the Opposite Party No.4 failed and was dismissed. But, the present Petitioner allowed the Opposite Party No.2 to get his agent security deposit amount released, thereby the present Petitioner is solely responsible for compensating the present Opposite Party No.1.

D. On being noticed in the First Appeal No.347 of 2006 by the learned State Consumer Disputes Redressal Commission, Cuttack, the present Petitioner appeared and for a long time but the matter could not be taken up by the learned State Commission due to some administrative reasons. But, the case was regularly taken up of on 07.08.2020, 20.10.2020, 05.01.2021. Finally on 26.03.2021, when on all these dates the present Petitioner deliberately did not appear, considering

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Date: 17-Jul-2023 15:48:18

the documents relied upon by the present Opposite Party No.1 and on perusing the L.C.R. of the lower court, the learned State Commission passed the final order. Therefore, the learned State Commission has not committed any error in passing the aforesaid final order.

E. The present Petitioner had suppressed the material fact with regard to the death of the present Opposite Party No.2. It is the fact that the Opposite Party No.2 being noticed in C.D Case No.163 of 2004 (before the District Consumer Disputes Redressal Commission, Cuttack) and also in F.A No.347 of 2006 (Before the State Consumer Disputes Redressal Commission, Cuttack) filed his written statement. So, the fact of death of the Opposite Party No.2 was not within the knowledge of the present Opposite Party No.1. When the present Petitioner had the knowledge of such death, they could have duly intimated the Learned State Commission to that effect. But, they deliberately kept silence and did not appear before the learned State Commission and now trying to put the present Opposite Party No.1 to unnecessary harassment since the matter is lingering for more than 19 years due to the non-cooperating attitude of the present Petitioner.

F. Both the learned District Forum and the State Commission has held that the agent had received various amounts from

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the Opposite Party No.1 and had given acknowledgment of receipts. Admittedly, the Opposite Party No.2 was an agent of the bank and the bank being the Principal, is liable for the acts of the agent. The Petitioner/bank being the Principal has the liability towards its customers. On the other hand, the bank may be held responsible since the Petitioner/bank has clandestinely allowed the agent to withdraw his security deposit amount from the bank and go away scot free. Now, the bank feigns innocence but was actively in league with the agent in defeating the genuine claims of the Opposite Party No.2.

G. The Opposite Party No.2 in paragraph -3 in his reply before the District Consumer Disputes Redressal Commission, Cuttack had stated that he had issued receipts after taking liquor and he was not in a fit state of mind. So, there was no question for sending the handwritings to the expert. Moreover, the learned Court in seisin over the matter physically verified the original receipts submitted before them and came to the conclusion that the said receipts were issued by the agent. Since, the agent was appointed by the bank by using the bank printed receipts to collect amount from the customers, for and on behalf of the principal (Petitioner Bank), the bank is liable for the acts of its erring agents.

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H. The Petitioner/bank was hand-in-gloves with the agent to cause heavy financial loss to its customer (Opposite Party No.1). When the present Opposite Party No.1 made allegations against the Opposite Party No.2 (agent) on 11.08.2003 through registered post, the bank vide letter No.85/03-04 dated 13.08.2003 wrote to the Opposite Party No.2 to deposit the entire receipts in the bank for verification and Opposite Party No.2 submitted the same on 20.08.2003. When the Petitioner/bank did not dispose of the complaints of the Opposite Party No.1 (Customer) and kept it pending for long 9 months. Therefore, the Opposite Party No.1 sent demand notice dated 14.05.2004 through his Counsel. The bank deliberately did not dispose of the claim of the Opposite Party No.1. On the other hand, the bank assisted the agent to go away gracefully with his deposited security amount kept in custody of the bank. Now the Petitioner/bank is pleading on behalf of the agent to prove his innocence.

I. The Opposite Party No.1 had filed the consumer case before the learned District Forum and also filed Appeal before the State Dispute Redressal Commission and in both the forums the Petitioner/Bank was served notice. They appeared and filed their reply. But, the present Petitioner did not appear through their counsel and the case being an old case was disposed of by the learned State Commission vide order

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dated 26.03.2021. The present Opposite Party No.1 had no knowledge about the death of Opposite Party No.2. When the present Petitioner had such information, they could have informed it before the State commission.

J. The present Writ Petition is not maintainable in view of the availability of alternative forum. Since the learned State Consumer Dispute Redressal Commission (SCDRC) has passed the final Order in F.A No.347 of 2006 vide order dated 26.03.2021, the alternative forum is National Consumer Dispute Redressal Commission (NCDRC). Therefore, the instant case may not be allowed to be challenged before this Court. The statute prescribes that NCDRC is the Appellate Forum.

IV. CONCLUSION AND ORDER:

9. The State Consumer Disputes Redressal Commission, Odisha, Cuttack vide order dated 26.03.2021 disposed of the F.A. No.347 of 2006 affirming the judgment dated 20.03.2006 passed in C.D. Case No.163 of 2004 by the learned District Consumer Disputes Redressal Forum, Cuttack with a modification to the extent that the present Petitioner and the Opposite Party No.2 are jointly and severally liable to pay Rs.44,000/- to the present Opposite Party No.1/ complainant with interest as ordered by the learned district Forum from the date of impugned order till the date of realization and rest portion of the impugned order is set aside.

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10. The Supreme Court in ***State Bank of India (Successor to the Imperial Bank of India) v. Smt. Shyama Devi***[1] held that for the employer to be liable, it is not enough that the employment afforded the servant or agent an opportunity of committing the crime, but what is relevant is whether the crime, in the form of fraud etc., was perpetrated by the servant/employee during the course of his employment. Once this is established, the employer would be liable for the employee's wrongful act, even if it amounts to a crime. Whether the fraud is committed during the course of employment would be a question of fact that needs to be determined in the facts and circumstances of the case.

11. In this regard, learned counsel for the petitioner has contended that it was the specific case of the Opposite Party No.2 (Agent) that he had not collected those amounts. How and on what basis the appellate forum held that both are jointly and severally liable which is not correct at all and there is no basis for the same. It is the settled position of law that Agent is not the employee of the Bank. For any act or commission of the Agent, the Bank is not responsible. It is the bank which will be responsible when the agent deposited the money in Bank. It is not a case that the Agent has deposited but the Bank has refused the same. Learned Counsel for the Opposite Party no.1 has clarified that although the Petitioner stated that no deposit was

[1] AIR 1978 SC 1263

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made by the Opposite Party No.2, who had been suspended, in the Bank concerning the account of the Opposite Party No.1, the Petitioner did not withhold the security amount deposited by the Opposite Party No.2 for obtaining agent license from the bank. The present Petitioner without adjusting the aforesaid security amount of the Opposite Party No.2 (agent) in the account of the present Opposite Party No.1 allowed the culprit Opposite Party No.2 to withdraw his security deposit and to allow him to go scot free. Thus, the present Petitioner was in league with the Opposite Party No.2.

12. Furthermore, it is pertinent to mention that since the learned State Consumer Dispute Redressal Commission (SCDRC) has passed the final Order in F.A No.347 of 2006 vide order dated 26.03.2021 and the appellate forum is National Consumer Dispute Redressal Commission (NCDRC) as per Section 19 of the Consumer Protection Act, 1986. In ***K.V. Padmanabhan v. Consumer Dispute Redressal Forum, Ernakulam***[2], it has been held as follows:

> *"The High Court is not a statutory appellate of revisional authority under the provisions of the Act. An order made by the District Forum is appealable under Section 15 only before the State Commission. An order passed by the State Commission is appealable only before the National Commission under Section 19 and the order of the*

[2] AIR 1992 Ker 179

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National Commission could be challenged in appeal only before the Supreme Court under Section 23."

13. In light of the aforesaid discussion and the cases cited hereinabove, this Court is of the opinion that the Petitioner should have filed the appeal under Section 19 of the Consumer Protection Act, 1986 before the National Commission against the order of State Commission. Accordingly, the Petitioner is granted liberty to approach the appellate forum provided in the statute.

14. Accordingly, this Writ Petition is disposed of.

(Dr. S.K. Panigrahi)
Judge

Orissa High Court, Cuttack,
Dated the 3rd July, 2023/B. Jhankar

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